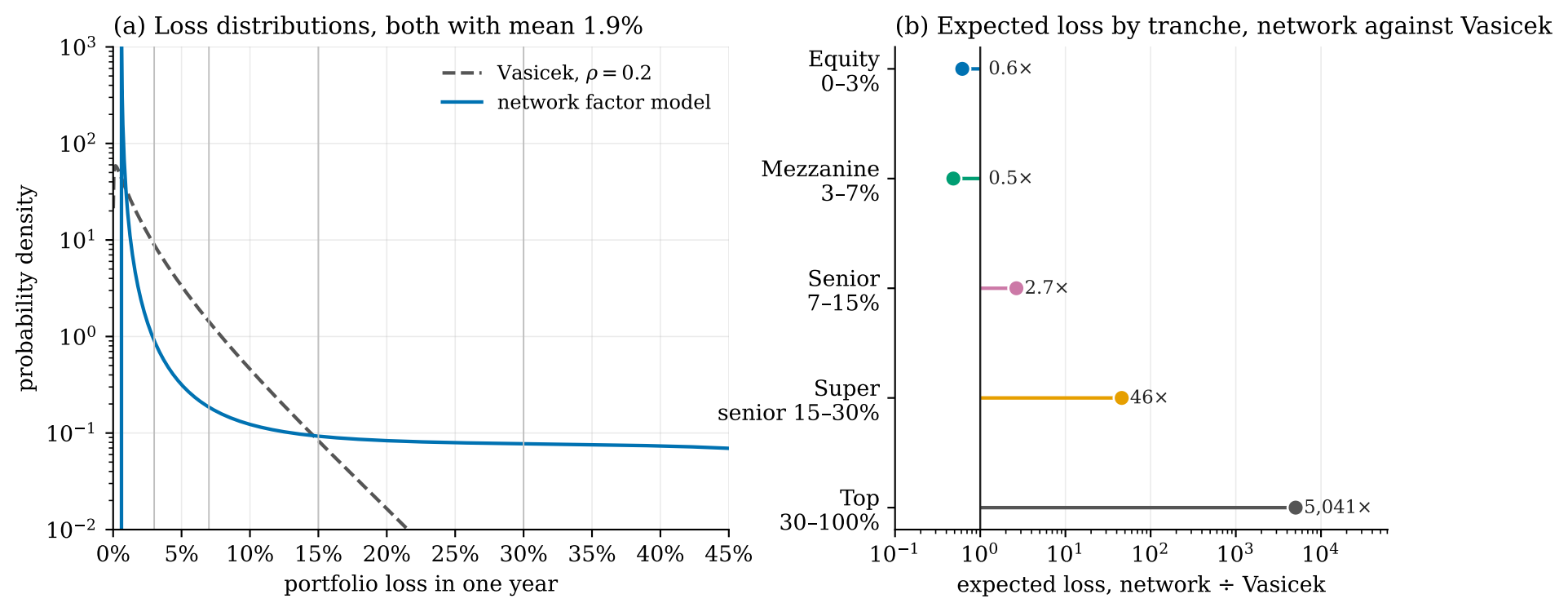
(a) Loss distributions, both with mean 1.9%
Vasicek, $\rho = 0.2$
network factor model
probability density
10^{3}
10^{2}
10^{1}
10^{0}
10^{-1}
10^{-2}
0%
5%
10%
15%
20%
25%
30%
35%
40%
45%
portfolio loss in one year
(b) Expected loss by tranche, network against Vasicek
Equity
0–3%
0.6×
Mezzanine
3–7%
0.5×
Senior
7–15%
2.7×
Super
senior 15–30%
46×
Top
30–100%
5,041×
10^{-1}
10^{0}
10^{1}
10^{2}
10^{3}
10^{4}
expected loss, network ÷ Vasicek